

4 percent, and 4.2 percent, respectively. More recently, the 2000 retiree enjoyed the lowest MSR in history. This individual only needed to save a fixed 12.5 percent of her annual salary (coincidentally) over a thirty-year career to be able to retire with accumulated wealth equal to 12.5 times her final salary. We will not know the corresponding MWR for the 2000 retiree until the end of 2029.

Exhibit 5.10

Relationship between Valuations, Savings Rates, and Withdrawal Rates For 50/50 Asset Allocation, 30-Year Work Period, 30-Year Retirement Period

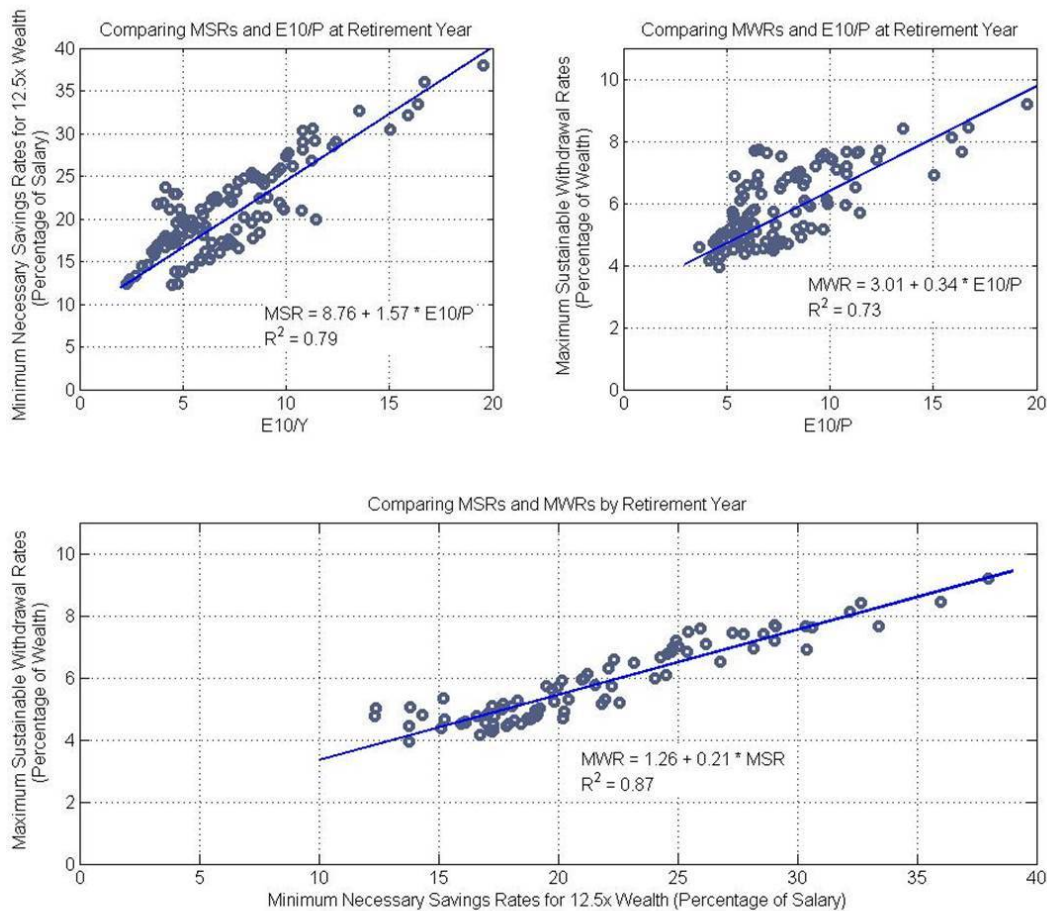


Exhibit 5.10 shows us that 87 percent of the variation in MWRs can be explained by MSRs. This exhibit also shows that the link between MSRs and MWRs is the market valuation level at the retirement date. Market